

**870 Fifth Avenue Corporation
870 Fifth Avenue
New York, New York 10065**

ALTERATION AGREEMENT & PROTOCOL

To ensure a smooth and efficient alteration process, shareholders are required to follow the procedure outlined below:

Step 1: Submission of Scope of Work and Drawings to Management

- Shareholders must submit the proposed scope of work and any associated architect plans and specifications to Douglas Elliman (management) for initial review. Submissions should be sent to either **Natalie Beskrownyj** (Assistant Property Manager) at natalie.beskrownyj@ellimanpm.com OR **Olivia Coppeletti** (Senior Account Executive) at olivia.coppeletti@ellimanpm.com. Management will review the submission and determine if the building architect's review is required. If so, the scope of work will be forwarded to the architect for assessment.

Step 2: Architect Review

- Upon the architect's approval of the scope of work and architectural plans and specifications, they will be submitted to the Board of Directors for final review and approval. IMPORTANT: All costs associated with the architect's review will be charged to the shareholder's account.

Step 3: Construction Committee Review

- The Construction Committee will review scope of work and architectural plans and specifications for approval. If the committee approves, management will notify the shareholder and their contractor that the scope of work has been approved contingent upon submission of the required documents.

Step 4: Required Documentation Submission

- Before any work can commence, the following documents must be submitted to management for review and approval:
 - Certificates of Insurance (COIs), including Worker's Compensation, for all vendors, contractors, subcontractors, etc., entering the building and/or apartment
 - Executed Hold Harmless Agreement signed by both the contractor and shareholder
 - Copies of Permits required for the project

- Copies of Licenses including contractor's license, plumber's license and electrician's license (if applicable)
- Proposed Start Date and Projected End Date for the project
- Signed Alteration Agreement (by the shareholder) including any exhibits that require review and signatures. *The shareholder must strictly adhere to the terms and conditions of the Alteration Agreement*.
- Checks for Deposit and Processing Fees (Refer to Rider 1 in the Alteration Agreement for fee details)
- Notice of Commencement of Work (Minimum 10 days' notice required). Refer to 'Exhibit C' for the letter template that must be sent to all neighbors on the floor and the units above and below, as well as to management.
- Shareholder's W-9 (required to process the security deposit)

All the steps above must be completed, and all required documents must be received and accepted by management before any work can begin. Please ensure all submissions are clear, complete, and timely to avoid delays in the approval process.

If you have any questions or require further clarification, please contact Douglas Elliman Management.

Sincerely,

870 Fifth Avenue Corporation Board of Directors

*cc: Douglas Elliman Property Management
Nick Mirzo (Resident Manager)*

APARTMENT ALTERATION APPLICATION

**870 Fifth Avenue Corporation
870 Fifth Avenue
New York, New York 10065
Telephone Contact Number:
Telecopier Contact Number:**

*** *SUBMIT IN TRIPLICATE TO DOUGLAS ELLIMAN PROPERTY MANAGEMENT* ***

Name: _____

Apartment Number: _____ Fax Number: _____

Home Phone: _____ Work Phone: _____

Requested Commencement Date for Work: _____

Plans and Specifications of _____ pages attached. This request cannot be processed unless plans and specifications are attached (include all architect's drawings).

Room-by-room description of proposed alteration work: _____

(Attach additional pages if necessary)

NO ALTERATION WORK CAN BE COMMENCED UNLESS AND UNTIL AN ALTERATION AGREEMENT SATISFACTORY TO THE CORPORATION HAS BEEN EXECUTED BY THE SHAREHOLDER AND BY THE PRESIDENT OR A VICE PRESIDENT OF THE CORPORATION AND ALL THE TERMS OF SUCH ALTERATION AGREEMENT ARE COMPLIED WITH.

Shareholder

Shareholder

Date: _____

INDEX

<u>Paragraph</u>	<u>Page</u>
Acceptance of Responsibility	13
Access to Fire Exit	17
Agreement Not Binding	22
Amendments to Certificate of Occupancy	21
Apartment Transfers	20
Assumption of Risk	14
Completed Alteration.....	23
Completion of Work; Fees.....	15
Conduct of Work.....	15
Conduct of Workmen	22
Contractor Licensing	23
Costs Incurred	14
Damage to Building.....	14
Designation of Architect/Engineer; Retention of Professionals; Inspections.....	12
Dust Containment.....	20
Failure to Comply	21
Fireplaces and Terraces.....	23
Floor Surfaces; Dust Infiltration.....	15
Headings.....	23
Hours of Work.....	14
Indemnification.....	18
Initial Submissions	9
Installation of Smoke and Carbon Monoxide Detectors; Window Guards	17
Location of Risers and Lines	15
No Amendment.....	22
No Deviation from Approved Plans.....	17
No Interference With Building Systems.....	17
No Opinion; No Reliance	21
No Third-Party Beneficiaries	23
No Violation of Law; Insurance Policies	18
Notice of Commencement	13
Notices	22
Payment of Expenses; Discharge of Mechanics' Liens	21
Payment of Fines	19
Quality of Work.....	17
Release and Waiver of Claims.....	21
Release of Claims.....	12
Removal of Rubbish; Deliveries; Security	18
Security Deposit.....	20
Shutdowns of Building Systems	18
Storage of Materials; Cleaning of Common Areas	19
Use of Power Tools	17
Use of Service Elevators.....	19

INDEX OF EXHIBITS

EXHIBIT A: Contractor Insurance Endorsement

-Form of insurance endorsement to be obtained from all Contractors and Subcontractors

EXHIBIT B: Letter from Contractor

-Letter from Contractor indemnifying Corporation, Corporation's directors, employees, shareholders and guests

EXHIBIT C: Letter to Neighboring Shareholders

-Letter from shareholder performing alteration to neighboring shareholders informing them of alteration and indemnifying them for damage

INDEX OF RIDERS

- RIDER 1: **Initial Submissions**
-Complete amounts and use when, considering the scope of the alteration, fees are appropriate
- RIDER 2: **Condition of Adjacent Premises**
-Use for any major alteration, especially those involving demolition or extensive work on "party" walls
- RIDER 3: **Asbestos**
-Use for any major alteration, especially those involving demolition, removal, relocation or alteration of walls, ceilings, floors or electrical, heating, ventilation, plumbing or air conditioning systems
- RIDER 4: **Paint/Dust and Debris Containment – Lead Based Pain**
-Use with any alteration which would disturb or in any way affect the paint on the walls, ceilings, doors, windows, trim and jambs, and/or wood work in the apartment.
- RIDER 5: **Demolition**
-Use for any alteration involving demolition
- RIDER 6: **Location of Rooms/Construction of Interior Walls**
-Use when the alteration involves changes in uses of rooms, replacement of flooring and/or construction of new interior walls
- RIDER 7: **Amended Certificate of Occupancy**
-Use when the number of rooms in an apartment will be changed or apartments will be combined or divided
- RIDER 8: **Alterations Visible from Exterior/Replacement of Windows/Air Conditioning – Through the Window, Wall and Central Units**
-Use when through-the-wall air conditioning units or new windows are to be installed
- RIDER 9: **Plumbing/Heating and Gas**
-Use for alterations involving plumbing work, especially kitchen and bathroom renovations and /or heating work
- RIDER 10: **Installation of Appliances**
-Use when the alteration involves installation of any type of appliances
- RIDER 11: **Changes in Electric Service**
-Use with major electrical modifications or rewiring or new wiring for air conditioners

RIDER 12: Landscaping of Terraces, Roofs or Balconies/Furniture and Other Installations

-Use when plantings or structures are to be placed or erected on terrace or balconies

RIDER 13: Window Replacement

-Use when windows require replacement.

RIDER 14: Air Conditioner Replacement

-Use when air conditioners require replacement.

APARTMENT ALTERATION AGREEMENT

Date: _____

870 Fifth Avenue Corporation
c/o Douglas Elliman Property Management
909 Third Avenue, 11th Floor
New York, New York 10022
Attention: Natalie Beskrownj

Re: Apartment # _____
870 Fifth Avenue
New York, New York 10065

Dear Sir/Madam:

Pursuant to Article II, Paragraph EIGHTH of the proprietary lease (the "Lease") for the captioned apartment (collectively, with all terraces appurtenant thereto, the "Apartment"), the undersigned shareholder(s) (the "Shareholder") hereby requests permission to install the equipment and/or make the alterations described in the accompanying plans and specifications (collectively, the "work") in the Apartment, and the Shareholder agrees to the following terms and conditions:

1. Initial Submissions. The Shareholder agrees, before any work is begun:

- (a) To provide designated representatives of 870 Fifth Avenue Corporation (the "Corporation") with a narrative describing the work in layman's terms.
- (b) To provide the Corporation with detailed plans and specifications of the work, prepared by an architect or engineer licensed in New York State, if the nature of the alteration requires such person.
- (c) To obtain the Corporation's written approval of all contractors, and sub-contractors (hereinafter collectively referred to as "Contractors"), to be hired by the Shareholder in connection with the work. If any Contractors are hired by the Shareholder after work has begun, the Shareholder must obtain the Corporation's written approval of such Contractors prior to such Contractors' commencement of work. The Shareholder understands that all Contractors must be duly licensed and employ only such laborers as shall not conflict with any of the trade unions employed in the work or otherwise cause disharmony with any building service union.
- (d) To provide the Corporation with a complete and conformed copy of every agreement made with Contractors and suppliers together with a signed statement from each Contractor that the portion of the work that Contractor will be performing complies with applicable laws, rules, orders or governmental regulation.
- (e) To cause the Shareholder's architect to prepare and submit to the Corporation a schedule of all work to be performed by each Contractor, setting forth the number of weeks and business days of the various trades and affirming that the work can be completed within the time allotted under Paragraph 13 hereof.

(f) If required by laws, rules orders or governmental regulations, to file, at the Shareholder's sole cost and expense, plans, forms or applications (including without limitation any asbestos -related forms filed in support of any applications) with and procure approvals and permits from any governmental agencies, including but not limited to the Landmarks Preservation Commission, the New York City Buildings Department, the Department of Environmental Protection and the Board of Fire Underwriters, if required, having jurisdiction over the work and, not more than ten (10) days after receipt of such approval, deliver to the Corporation every permit or certificate issued. If there is any doubt as to the need for such approval, the Corporation shall be the sole arbiter in resolving the doubt. In the event the plans are to be filed with the New York City Buildings Department under Directive # 14 (self-inspection), the name of the Supervising Professional shall be provided to the Corporation prior to such filing.

(g) To have the Shareholder's Contractor provide insurance of the types and in not less than the limits set forth below with a company or companies satisfactory to the Corporation, licensed to do business in the State of New York, and all such policies shall name the Corporation, its directors, officers, the Shareholder and the Corporation's managing agent (the "Managing Agent") as additional named insureds (collectively, the "Additional Insureds"). No diminution of limits of insurance will be permitted without the express written consent of the board of directors.

(i) WORKER'S COMPENSATION as required by all applicable Federal, State, or other laws including Employers Liability in accordance with the statutory requirements of the State of New York, together with Disability Benefits Insurance required by the State of New York.

(ii) COMPREHENSIVE GENERAL LIABILITY including Contractor's Liability and Blanket Contractual Liability (oral or written), all on an occurrence basis with Personal Injury coverage, which shall include mental anguish as well as standard conditions, and Broad Form Property Damage, without any exclusion relating to Explosion, Collapse and Underground Property Damage.

The policy will contain the "Broad Form Comprehensive General Liability" endorsement in Paragraph 1 in such form; the exclusion pertaining to liability assumed by the Contractor under any contract or agreement (Section II paragraph B(1)) is to be deleted. The completed operations coverage is to extend for a period of one year following termination of the work and contractual indemnity coverage is also to extend for one year following termination of the work. The policy is also to include (a) Owners Protective Liability Coverage, (b) Knowledge of Occurrence and Notice of Occurrence endorsements and (c) Unintentional Errors and Omissions clause. The policy shall also include coverage with respect to asbestos exposure if the work involves any asbestos-containing material, and shall not include a sunset clause without the Corporation's consent.

\$2,000,000 BODILY INJURY & PROPERTY DAMAGE*
(combined single limit)

(iii) COMPREHENSIVE AUTOMOBILE LIABILITY, including non-ownership and hired car coverage, as well as owned vehicles:

\$1,000,000 BODILY INJURY & PROPERTY DAMAGE
(combined single limit)

(iv) \$5,000,000 UMBRELLA LIABILITY, BODILY INJURY, PERSONAL INJURY AND PROPERTY DAMAGE COMBINED*

If Umbrellas are written in more than one company any layers above the first one shall follow the form of the Primary Umbrella.

Contractor shall, by specific endorsement to its primary liability policy, cause the coverage afforded to the Additional Insureds to be primary to and not concurrent with other valid and collectible insurance available to the Additional Insureds. Contractor shall, by specific endorsement to its umbrella/excess liability policy cause the coverage afforded to the Additional Insureds thereunder to be first tier umbrella/excess coverage above the primary coverage afforded the Additional Insureds and not concurrent with or excess to other valid and collectible insurance available to the Additional Insureds.

Prior to the commencement of any work hereunder, copies of the policies together with detailed certificates of insurance shall be furnished to the Corporation showing that such insurance is in full force and the premiums due thereunder have been paid. Such certificates shall provide that the said insurance may not be canceled, terminated or modified without thirty (30) days written advance notice thereof to the Corporation. The Contractor shall promptly furnish the Corporation with copies of any endorsements subsequently issued amending insurance coverage or limits.

In the event of the failure of the Contractor to furnish and maintain such insurance, the Corporation shall have the right, at its sole option, at any time, (a) to revoke permission to perform the work and to deny entry into the building of all workers, except that if such workers are escorted by a member of the building's staff, they shall be permitted to remove their tools and supplies, or (b) to take out and maintain the said insurance for and in the name of the Additional Insureds, the Shareholder's name and the name of the Contractor and the Shareholder agrees to pay the cost thereof and to furnish all necessary information and consents to permit the Corporation to take out and maintain such insurance for the account of the Additional Insureds, the Shareholder's account and the account of Contractor. Compliance with the foregoing requirements to carry insurance and furnish certificates shall not relieve the Shareholder or the Contractor from liability assumed under any provisions of this Contract.

The Contractor's insurance policy shall, in addition to containing in substance the endorsement set forth in Exhibit A hereto, also contain in substance the following endorsement:

"This insurance shall not be invalidated should the insured waive, in writing, prior to a loss, any or all right of recovery against any party for the loss occurring to the property described herein."

* Amounts of insurance required may be higher for major renovations as designated by the Board of Directors.

Nothing in this paragraph 1(g) shall constitute a waiver of or limitation of any other rights or remedies the Corporation may have for consequential damages or otherwise.

(h) To deliver to the Corporation a written agreement in the form of Exhibit B hereto executed by each Contractor.

2. **Release of Claims.** The Shareholder agrees not to make any claim against or seek to recover from the Corporation, its directors, officers, the Corporation's shareholders, or the Corporation's or the Corporation's shareholders' servants, agents, partners, guests, licensees, invitees, tenants or employees for any damage to persons or property by the perils within the scope of the insurance policies required in paragraph 1(g), unless the loss is due solely to the carelessness or negligence of such named parties.
3. **Designation of Architect/Engineer; Retention of Professionals; Inspections.** The Shareholder acknowledges that the Corporation may designate an architect or engineer, who shall, at the Shareholder's expense based upon the architect's or engineer's hourly rate, (a) review plans and specifications for the alterations in regard to how the intended work may affect the structural integrity, common areas of the building or other apartments and the use, security, safety, enjoyment by other shareholders of the building, and (b) from time to time, without notice at any time when workers are present in the Apartment, observe the work to insure that all work conforms to plans and specifications previously approved and is otherwise in conformity with the requirements of this Agreement, and that no conditions have been created by the work which create a hazard or environment which is harmful to the health of individuals working or residing in the building or to the structural integrity of the building or the other apartments or the systems therein or is in violation of laws, rules, orders or regulations of any governmental agency having jurisdiction.

If the Corporation is required, or deems it wise, to seek legal, engineering, electrical, architectural or other advice relating to the work or this Alteration Agreement, at any time and from time to time prior to or after granting permission for the work to be performed, the Shareholder hereby agrees to reimburse on demand all fees and disbursements incurred by the Corporation with respect to the same, whether or not the Corporation grants permission for performance of the work. The Shareholder agrees to reimburse the Corporation for all such expenses promptly upon receipt of the Corporation's bill for the same at the respective professional's hourly rate, and if permission is granted, then all fees incurred prior to commencement of the work shall be reimbursed to the Corporation prior to such commencement.

The Shareholder agrees to provide access to such architect or engineer or any successor thereto as well as to the Corporation's agents (including, without limitation, the President or a Vice President of the Corporation, the Managing Agent and the superintendent of the building) to observe the work, the frequency of which shall be in the sole and absolute discretion of the Corporation, and undertake to make all corrections specified by the Corporation as a result of nonconformance with the plans and specifications or as the result of a condition described in the preceding sentence. Upon notice from the Shareholder to the architect or engineer, such observation visits will be scheduled on the following occasions:

- (a) Prior to the commencement of the alteration.
- (b) Prior to any demolition work and at least once a week during the demolition phase of the alteration.
- (c) Prior to inspections, testing or approvals as required by any public authority having jurisdiction over any portion of the work.
- (d) Prior to the enclosure or obstruction of any concealed or inaccessible portions of the work.
- (e) Prior to any other stage of progress of the work, which has been designated for observation by the Corporation's architect or engineer in its review of the Shareholder's plans and specifications.
- (f) Within a reasonable time after completion of the work.

The architect or engineer shall make reasonable efforts to observe the work within three (3) working days after receiving a request for an observation visit. The Shareholder shall not proceed until work has been observed and approved in writing by the Managing Agent. If any portion of the work should be covered contrary to the request of the architect or engineer, or the required inspections set forth in this Agreement the Shareholder shall cause the enclosure to be uncovered at the Shareholder's expense for observation by the architect or engineer and thereafter replaced at the Shareholder's expense.

- 4. **Acceptance of Responsibility.** The Shareholder releases the Corporation, the Corporation's directors, officers, agents and employees from any liability for damage to the portions of the Apartment affected by the work which may occur in the performance of building maintenance repairs. Notwithstanding anything to the contrary contained in the Lease, the Shareholder accepts sole responsibility for the work and costs in connection with the maintenance, repair, restoration or replacement of any portions of the Apartment affected by the work, and acknowledges that such responsibility shall pass to the Shareholder's successor-in-interest in the Apartment.
- 5. **Notice of Commencement.** After obtaining approval of the work, the Shareholder agrees to give not less than ten (10) days' written notice, setting forth the date the Shareholder plans to commence the work and the duration of the work, to the superintendent and the Managing Agent of the building, and an executed letter in the form of Exhibit "C" hereto to the shareholders or residents in the apartments that are adjacent to, above and below the Apartment (the "Adjacent Premises") a copy of which letter shall be delivered to the Managing Agent. If the work is not commenced within sixty (60) days of the execution of this Agreement, the consent granted hereunder shall become null and void. The Shareholder may request an extension in writing, and approval thereto may be granted or denied in the Corporation's discretion.
- 6. **Damage to Building.** Any damage to any Adjacent Premises or other apartments or the common elements of the building, including but not limited to the common structure, infrastructure, equipment, elevators, doors and finishes of the building, resulting directly or indirectly from the performance or existence of the work will be insured by the Shareholder's insurance coverage required hereunder or that of the Contractors. However, the existence of such insurance shall not relieve the Shareholder of liability hereunder. If the Managing Agent or building superintendent advises of any damage, in its or his opinion, caused by the work, the Shareholder shall submit any

claim based on such damage immediately to the Shareholder's insurance carrier and the insurance carrier of the Contractors without contest to the extent permitted by the insurance policies. The Shareholder agrees to use all reasonable efforts, and to cause the Contractors likewise to use all reasonable efforts, to cause any insurance carrier insuring the Shareholder or the Contractors, as the case may be, to expeditiously settle and pay any amounts for claimed damage for which the Shareholder or the Contractors are responsible hereunder to the Corporation, its directors or any shareholder or resident of the building.

7. **Costs Incurred.** The Shareholder understands and agrees that all costs for labor, equipment and materials incurred by the Corporation in connection with the work, in the Corporation's sole discretion, for professional consultations, maintenance and supervision, elevator service, rubbish removal or protection services, including uniformed security guards, shall be charged, at the cost to the Corporation including overtime rates, if utilized, to the Shareholder. Any such charges shall be billed monthly and paid within ten (10) days of billing.
8. **Assumption of Risk.** The Shareholder assumes all risk of damage to the building and its structural, mechanical and electrical systems, and to persons and property in the building which may result from or be attributable to the performance or existence of the work and all responsibility for the maintenance and repair of any alterations and installations after completion. This responsibility covers all work, whether or not structural, weathertightness of windows, exterior walls or roofs, waterproofing of every part of the building directly or indirectly affected by the work, and maintenance of all heating, plumbing, air-conditioning and other equipment installed or altered pursuant hereto. If the operations of the building, or any of the foregoing equipment, is adversely affected by the work, the Shareholder shall promptly correct the cause of the problem. If, in the Corporation's sole discretion, the Shareholder does not promptly correct the problem, the Corporation may have the problem corrected and the Shareholder shall be liable for all costs and expenses incurred therein.
9. **Hours of Work.** The work may be performed Monday through Friday only between the hours of 8:30 a.m. and 4:00 p.m., provided, however, that hammering or any other noisy work which may disturb other residents shall not be performed prior to 9:30 a.m., Monday through Friday inclusive. Under no circumstances shall any work whatsoever be performed on Saturdays, Sundays or legal holidays.
10. **Conduct of Work.** All work shall be done in such a manner and at such time so as to minimize disturbance to other occupants of the building or the operation of the building's services. The work shall be discontinued immediately should the Corporation deem that it is creating a disturbance to other occupants of the building or causing any interruption of the normal operation of the building.
11. **Floor Surfaces; Dust Infiltration.** Prior to commencement of any work in the Apartment, the entire floor surface area is to be covered with sound-deadening masonite board of not less than one-half inch in thickness. Each section of masonite is to be taped together to form a complete stable floor covering throughout the entire Apartment. This cover is to remain in place until any work which might in any way create noise is completed. The door from the Apartment into the hallway shall be sufficiently sealed inside the Apartment to prevent the flow of dust into the building hallways but shall remain unlocked during the work. The carpet in the common hallways shall be protected with construction paper prior to commencement of construction. The paper shall be removed daily. The Shareholder is solely responsible to prevent dust from escaping from the Apartment into other apartments or the building's common areas. In transporting waste out of the Apartment and the building, the elevator, hallways and basement

corridors must be protected so as to minimize dust. In the event the building staff is required to perform additional cleaning as a result of the work, the Shareholder will be responsible for any costs incurred and the same shall be charged to the Shareholder as additional rent under the Lease.

- 12. Location of Risers and Lines.** Prior to the commencement of any demolition in the Apartment, all plumbing and heating risers, drain lines, vent lines, branch lines, valves and other system components within the Apartment and control valves which regulate supply to the Apartment, must be located and listed in an addendum to the construction plans. Such addendum must be posted in a conspicuous place within the Apartment during the entire alteration period.
- 13. Completion of Work; Fees.** (a) The Shareholder shall use the Shareholder's best efforts to ensure that the proposed work is completed expeditiously, but in any event all "noisy" work shall be performed between January 11th and November 30th, excluding the Wednesday before Thanksgiving and the Friday after Thanksgiving, completed within an aggregate of 273 calendar days from the date of commencement of the work, or such other period as the Corporation, in writing, designates (the "Completion Date"). Noisy work includes any type of work other than decorative work or "quiet work" (painting, wallpapering and carpeting). The Corporation expresses no opinion regarding the feasibility of completion of the work within this time period. No work other than quiet work that is part of the work covered by this Alteration Agreement, may be continued beyond the Completion Date without the Corporation's specific written consent. Quiet work is allowed during the entire year with the exception of December 23rd through January 2nd. If the Shareholder desires additional time to complete the work, the Shareholder shall be entitled to no more than 15 additional, consecutive business days, beginning with the next business day following the Completion Date, provided that the Shareholder pays the Corporation the sum of \$2,000 per day as consideration for each additional business day so extended, which amount may be withdrawn from the security deposit provided pursuant to paragraph 28 of this Apartment Alteration Agreement. The Shareholder acknowledges this amount to be a fee to be paid in consideration for amending the Corporation's consent so as to permit the work to continue past the established, agreed upon Completion Date upon which the Corporation's consent to the proposed work was given.
- (b) In addition to all other amounts charged hereunder, the Shareholder shall pay to the Corporation a use-of-facilities fee of \$2,500 for each calendar month, or portion thereof, that the work takes place. This is to allow the Corporation to address the demands on building staff and management and prevent interruption to normal building service, as well as the extraordinary wear and tear on the building's physical plant, including service elevators.

At the end of 15 consecutive business days after the Completion Date, the Board, in its sole and absolute discretion, has both the right and the intention to stop work on the project. At that time, the job will be shut down completely and the Shareholder will be required, if the Shareholder desires to complete the project, to submit a proposed scope of work, detailing among other things, a schedule for each trade showing the new proposed completion date for such trade and for project completion, and, if the Corporation consents to the same, to execute an amendment of this Apartment Alteration Agreement. The Board, in its sole and absolute discretion, may or may not enter into and/or approve an amendment and permit any further work to be undertaken thereafter. Once so stopped, work will only be allowed to begin again at the discretion of the Board and in compliance with the provisions of this paragraph 14, including the payment of all fees required and the costs incurred by the Corporation for reviewing the new

proposed scope of work which the Corporation shall be entitled to apply from the security deposit provided pursuant to paragraph 28 of this Apartment Alteration Agreement.

The Corporation's application of the security deposit provided pursuant to paragraph 28 of this Agreement as aforesaid shall be without prejudice and in addition to any remedies the Corporation may have, including the right to stop all work. If the security deposit provided pursuant to paragraph 28 is fully applied, the Shareholder agrees to pay all amounts due under this paragraph to the Corporation in weekly installments. The security deposit payable in weekly installments is deemed additional rent under the Corporation's proprietary lease.

The determination of whether the work is completed shall be made by the Corporation, in its sole and absolute discretion, and the Corporation's determination shall be conclusive. The Shareholder agrees that any consent to performance of work after the Completion Date granted by the Corporation may be revoked by the Corporation immediately if the Shareholder fails to comply with any requirement of this Apartment Alteration Agreement or amendment providing for an extended completion date. The Shareholder is aware of, and fully understands the consequences of breaching this agreement by failing to complete work by the Completion Date, or any extended completion date which may include, but not be limited to, the termination of the Shareholder's right to perform work before the work is completed.

The Shareholder acknowledges and agrees that lengthy apartment alterations cause injury to the Corporation, other shareholders and tenants because of the disruption, dust, noise and other consequences of construction attendant to such alterations, as well as the diversion of building and management resources, and that the Corporation, other shareholders and tenants cannot be fairly or adequately compensated for damages caused by alterations which continue beyond the Completion Date or any extended completion date. Thus, the Corporation shall have the right, in addition to any other rights that the Corporation may have, to seek entry of an injunction, enjoining the work. Moreover, recognizing and acknowledging the irreparable nature of the injuries caused by work extending past the Completion Date or any extended completion date, the Shareholder consents to entry of such an injunction and further agrees to bear any attorneys' fees or other costs incurred by the Corporation in obtaining or enforcing said injunction, which amounts shall be deemed additional rent under the Corporation's proprietary lease.

All time limitations set forth in this paragraph shall be subject to extension for delays, subject to approval by the Corporation, caused by or attributable to acts of God, unusual weather conditions or strikes not attributable to the Shareholder's or the Contractors' or other agents' bad faith.

- 14. No Interference With Building Systems.** The Shareholder will not interfere or permit interference with the building's intercommunication systems or gas or electric service. Temporary lighting shall be installed and one light will be lit at all times as necessary. The Shareholder agrees that the work will not alter or relocate plumbing and heating lines. The Shareholder further agrees that the work will not alter or relocate ventilation ducts without the Corporation's prior written consent. In no event shall any alterations be made to structural or

architectural components such as columns, beams, bearing walls or slabs. Intercommunication lines shall be modified only by agents of the Corporation, at the Shareholder's cost and expense.

15. **Use of Power Tools.** The use of power tools such as electric hammers, portable electric saws, automatic jack hammers, other pneumatic tools and sledge hammers which may disturb other occupants of the building or cause cracking in the walls of other apartments will not be permitted without the Corporation's prior written approval. A list of the power tools expected to be used must be included in the plans and specifications for the work. If the Corporation's written approval to use such tools is given, at least ten (10) days prior written notice of any noise producing work must be given by the Shareholder to the residents of adjacent apartments. The Corporation reserves the right, in its sole and absolute discretion, to stop any work in the event of excessive noise.
16. **No Deviation from Approved Plans.** All work will be performed strictly in accordance with the approved plans and specifications. The Shareholder agrees that no amendments to the approved plans and specifications or any changes of any kind in the scope in the proposed alterations shall be made without the written approval of the President or a Vice President of the Corporation. If any work, other than as described herein, is performed, the entire job will be stopped by the Managing Agent.
17. **Quality of Work.** The alterations and materials used shall be of the quality and style in keeping with the luxury class character of the building. Should there be any doubt concerning the quality or style of the work or the materials, the Corporation shall be the sole arbiter in resolving the doubt.
18. **Installation of Smoke and Carbon Monoxide Detectors; Window Guards.** The Shareholder agrees that functioning fire extinguishers, smoke alarms and carbon monoxide detectors, will be maintained in the Apartment during the work, and that smoke detectors and carbon monoxide detectors will be installed within fifteen feet of every sleeping area on the ceiling or wall pursuant to law, including New York City local Law 7 of 2004. The Shareholder understands and agrees that window guards must be installed as required by law if a child or children ten (10) years old or under resides in the Apartment. As per the 2008 NYC Building Code, Chapter 9 FIRE PROTECTION SYSTEMS, for Group R-2 Occupancy (Apartment Buildings), Paragraph 907.2.10.1 Single or multiple station alarms shall be installed and maintained, regardless of occupant load at all of the following locations within a dwelling unit:
 1. On the ceiling or wall outside of each room used for sleeping purposes within 15 feet from the door to such room.
 2. In each room used for sleeping purposes.
 3. In each story within a dwelling unit, including below-grade stories and penthouses of any area, but not including crawl spaces and uninhabitable attics. In dwellings or dwelling units with split levels and without an intervening door between the adjacent levels, a smoke alarm installed on the upper level shall suffice for the adjacent lower level provided that the lower level is less than one full story below the upper level.
19. **Access to Fire Exit.** The Shareholder agrees that the work shall not block access to any fire exits in the building.
20. **No Violation of Law; Insurance Policies.** The Shareholder will not do or permit any act or thing to be done contrary to law, or which will invalidate, be in conflict with or cause an increase

in premiums payable by the Corporation for liability, multi-peril casualty or other insurance policies carried by the Corporation or for the Corporation's benefit.

- 21. Indemnification.** The Shareholder agrees to indemnify and hold harmless the Corporation, the Corporation's directors, officers, shareholders, the Corporation's and the Corporation's shareholders' agents, partners, servants, employees, tenants, guests, licensees, invitees, and all other occupants of the building from and against any and all claims, damages, expenses (including reasonable attorneys' fees and expenses) suffered to persons or property as a result of or in any way related to (i) the work to the Shareholder's Apartment or its adverse impact on the comfortable occupancy of other apartments in the Building; (ii) the Shareholder's failure to comply with the Shareholder's obligation's hereunder (including without limitation the obligation to repair and maintain the work); or (iii) the Shareholder's failure to perform the work in accordance with the approved plans and specifications and the terms and conditions contained herein, unless caused by the carelessness or negligence of the indemnified parties, and for any and all liabilities arising therefrom or incurred in connection therewith, including, without limitation, any liability incurred in connection with the removal, encapsulation, enclosure or other abatement of asbestos containing material or the transportation and disposal of the same or any liability incurred in connection with the disturbance, sealing, containment, cleaning or removal of any lead based paint existing on any window, wall, floor board, trim, molding or other surface located in the Shareholder's apartment or in an area contiguous with or adjacent to the Shareholder's apartment of which the Shareholder is entitled to limited access or exclusive use thereof and to indemnify and hold harmless such parties against any claims by others for damages to persons or property resulting from the work being undertaken, and to reimburse such parties for any costs and expenses, including, without limitation, attorneys' fees and disbursements, incurred as a result of the work, including, without limitation, asbestos abatement work. This indemnification shall survive the completion of the work.
- 22. Shutdowns of Building Systems.** All work that requires any shutdown of the water, heating, or electrical systems affecting areas in the building outside the Apartment must be scheduled with the superintendent following approval by the Board of Directors. At least five (5) business days prior written notice of such shutdown shall be given by the Shareholder to the residents of all affected apartments. The Shareholder shall pay \$200.00 a day for each day, or portion thereof, that the water supply, heating or electrical systems to the Apartment or Building is shut off. Shutdowns may not exceed three (3) hours in duration. No work that requires shutdown of the heating system will be permitted during the heating season. In no event will any shutdown of gas services affecting areas outside the Apartment be permitted.
- 23. Removal of Rubbish; Deliveries; Security.** It is the Shareholder's responsibility to have all rubbish, discarded equipment, empty packing cartons and other materials removed from the building and its environs by way of the freight elevator at the Shareholder's own expense, taking all due care to minimize dust in the Building's common hallways, elevator and basement. All materials and rubbish will be moved from the Apartment in barrels or bags or other suitable containers. Prior to any activity which may interfere with the security of the building, the Shareholder will obtain approval from the superintendent at least 48 hours in advance of such activity. The Shareholder agrees to reimburse the Corporation for any wages or related expenses incurred in connection with the building's right to maintain security by posting a building employee or a professional security person at building locations during such activity. If, in the Corporation's sole and absolute discretion, the Shareholder has failed to remove the rubbish to the Corporation's satisfaction, the Corporation may have it removed and the Shareholder will be responsible to the Corporation for any and all costs and expenses incurred, which amounts shall be due as additional rent under the Lease.

- 24. Storage of Materials; Cleaning of Common Areas.** Materials and tools may be left in the Apartment at the Contractor's risk. All rubbish removal shall be removed at the end of every working day and shall be supervised by the Contractor. The service hallway will be vacuumed, cleaned and mopped, as necessary, by the Contractor's personnel at the end of each work day. Following removal of rubbish, any areas in or around the building soiled in the course of such removal shall be thoroughly cleaned. In no event shall any materials or bags of rubbish be placed, maintained or stored in the common areas of the building or outside the building or in its environs and nor shall any "street containers" or "dumpsters" for the storage of rubbish be placed, maintained or stored outside the building or in its environs without the Corporation's prior written consent on such terms and conditions as the Corporation may prescribe. Removal of rubbish shall be allowed only as instructed by the superintendent between the hours of 9:30 a.m. and 4:00 p.m., Mondays through Fridays. No materials, including tools may be stored overnight in the building without the Managing Agent's prior written consent and at Contractor(s) risk. Materials and tools may be left in the Apartment at the Contractor's risk. All rubbish removal shall be removed at the end of every working day and shall be supervised by the Contractor. The service hallway will be vacuumed, cleaned and mopped, as necessary, by the Contractor's personnel at the end of each work day. Following removal of rubbish, any areas in or around the building soiled in the course of such removal shall be thoroughly cleaned.
- 25. Payment of Fines.** The Shareholder hereby authorizes the Corporation to pay from the deposit held by the Corporation pursuant to paragraph 28 hereof any sanitation or other fines which may be assessed against the building by reason of the Shareholder's materials or rubbish.
- 26. Use of Service Elevators.** The Shareholder recognizes that only the service elevator or such other elevator designated by the superintendent of the building may be used (a) by the Contractors, (b) to transport any materials or equipment to or from the Apartment, and (c) to remove rubbish from the Apartment. No materials will be taken on top of any elevator cabs. No materials may be hoisted without the written consent of the Managing Agent. The service or other such elevator designated by the superintendent shall be available for such purposes only at such times as the superintendent of the building may direct and may be limited, depending on other building activities or ongoing alterations. If the convenience of other tenant-shareholders requires that the service elevator or other such elevator designated by the superintendent be operated on any overtime basis, the Shareholder will promptly reimburse the Corporation for any wages or related expenses incurred in connection therewith upon demand. The shareholder shall pay \$60.00 per day to the Corporation for the use of the service elevator during any demolition and construction periods of the alteration.
- 27. Dust Containment.** It is the Shareholder's responsibility to ensure that precautions are taken to prevent dirt and dust from permeating other areas of the building during the work. All carpeting in the common area hallways shall be covered with thick plastic transparent sheets and shall be cleaned and vacuumed daily. Masonite board may be used in common hallways only on any given day for a few hours while heavy materials are being brought into the Apartment and shall be removed daily. If, in the Corporation's sole and absolute discretion, dirt and/or dust does affect other areas of the building, the Corporation may have the areas cleaned and the Shareholder will reimburse the Corporation for all costs and expenses. During the course of renovation the Shareholder's Contractor at their sole cost and expense shall maintain on Site air filtration equipment, such as Dri-Eaz DefendAir HEPA 500 or similar. Air filtration equipment shall be operational specifically during demolition, painting, staining, wood floor finishing, or other renovation operations which may create dust or noxious odors which could adversely affect adjacent building and shareholder areas.

- 28. Security Deposit.** As security for the faithful performance and observance by the Shareholder of the terms and conditions of this Alteration Agreement, the Shareholder is concurrently herewith delivering to the Corporation the Shareholder's check payable to the order of 870 Fifth Avenue Corporation in the amount of ten percent (10%) of the alteration costs (but not less than \$50,000),** or such other amount as the Board of Directors shall determine in its sole and absolute discretion, the proceeds of which may be deposited by the Corporation upon the Corporation's acceptance of this Alteration Agreement. An additional security deposit payable by the Shareholder to the Corporation shall be required in the amount of \$5,000 if the alterations requested require an amended Certificate of Occupancy, as determined by the Corporation's architect. In the event that the Shareholder or persons engaged by the Shareholder to perform the alterations cause loss, cost or expense to the Corporation or the Corporation's property, including without limitation any loss, costs or expense arising from or relating to (a) the fees of any architect or engineer engaged by the Corporation to review the plans and specifications or to review from time to time the progress of the work, (b) the fees of the Corporation's attorneys engaged in the event of the Shareholder's breach or alleged breach of the provisions of this Alteration Agreement, or otherwise in connection with the work, (c) damage to the Building, carpeting or wallpaper in the Building's hallways or to other common areas (including, without limitation, the cost of cleaning, shampooing or repairing the same if soiled or otherwise damaged), (d) damage to any other apartment, (e) work extended beyond the Completion Date, and the use-of facilities fee, as provided for in paragraph 13 hereof, or (f) any other expenses incurred by the Corporation in connection with any complaints or violations of this Alteration Agreement, the Corporation may deduct an appropriate sum from the deposit. The Corporation shall be the sole arbiter in the determination of the charges to be deducted from the deposit. If the deposit is diminished, the Shareholder shall replenish it to the full amount within three (3) days after the Corporation's demand. The Shareholder agrees that the Corporation may use, apply or retain the whole or any part of the security so deposited to the extent required or permitted hereunder. If the Shareholder shall comply with all of the terms and conditions of this Alteration Agreement, the Shareholder understands that the security deposit or remaining balance thereof shall be promptly returned to the Shareholder after completion of the alterations and receipt of an amended Certificate of Occupancy, if required.
- 29.** [Intentionally omitted]
- 30. Payment of Expenses; Discharge of Mechanics' Liens.** The Shareholder will bear the entire cost of alterations and installations and pay all bills incurred in connection therewith, not later than thirty days after completion of the work. If any mechanic's liens be filed for work claimed to have been done or materials alleged to have been supplied, the Shareholder shall cause such liens to be discharged of record within ten days after such filing. If the Shareholder fails to do so, the Corporation may exercise any or all of the Corporation's rights and remedies under the Lease or this Agreement.

** This amount may be varied by the Board as a condition for its approval depending on the scope of the work.

31. **Amendments to Certificate of Occupancy.** At the completion of the work, the Shareholder will deliver to the Corporation an amended Certificate of Occupancy and a certificate of the Board of Fire Underwriters, if either be required, and such other proof as may be necessary to indicate that all work has been done in accordance with all applicable laws, ordinances and government regulations, together with a statement from the architect or engineer who signed the Shareholder's original plans that the work has been executed in accordance with those plans, which statement shall be accompanied by two (2) sets of "as built" plans and evidence of the "close out" of the work permit issued by the NYC Department of Buildings. If an amended Certificate of Occupancy or certificate of the Board of Fire Underwriters is not required, the Shareholder's architect or engineer must submit a statement to that effect. If there is any doubt as to whether an amended Certificate of Occupancy is required at the completion of the Work, the Corporation's designated arbiter or engineer shall be the sole architect in resolving the doubt.
32. **No Opinion; No Reliance.** The Shareholder recognizes that, by granting consent to the work, the Corporation does not profess to express any opinion as to the design, feasibility or efficiency of the work. In no event shall any approval or consent granted hereunder be construed to relieve the Shareholder from any responsibility or obligation contained herein or impose any liability on the Corporation with respect to the work. The Shareholder acknowledges and agrees that no reliance may be placed by the Shareholder on the Corporation's architect or engineer designated pursuant to paragraph 3 with regard to the design, feasibility or efficiency of the work or Shareholder's obligations hereunder.
33. **Failure to Comply.** The Shareholder's failure to comply with any of the provisions hereof shall be deemed a breach of the provisions of the Lease, pursuant to which the Corporation's consent has been granted, and, in addition to all other rights, the Corporation may suspend all work and prevent workmen from entering the building and/or the Apartment for any purpose, except that if they are accompanied by a member of the building's staff they may remove their tools or equipment. In such event, the Corporation may also, in its sole and absolute discretion, revoke the Corporation's permission for the Shareholder to undertake the alterations.
34. **Release and Waiver of Claims.** Shareholder releases the Corporation, its directors, officers and shareholder and the Managing Agent and its managers and members from any and all liability for loss or damage to any of Shareholder's property which may result from or be in any way connected with Shareholder's Work, and Shareholder hereby waives any claims which Shareholder may now or hereafter have against the Corporation or the Managing Agent and their respective directors, officers and shareholders based upon the interruption or suspension of the Work by the Corporation regardless of the reason for such interruption or suspension.
35. **Correction of Work.** The Shareholder shall promptly correct all work rejected by the Corporation as (a) defective, (b) failing to conform to this Alteration Agreement or the laws, rules, orders or regulations of any governmental authority having jurisdiction over the building or (c) creating any violation of any policy of any insurance carrier, whether or not such work is fabricated, installed or completed. The Shareholder shall bear all costs of correcting such rejected work, including compensation for the additional services of any architect or engineer engaged by the Corporation pursuant to the terms hereof made necessary thereby.
36. **Additional Rent.** The Shareholder agrees that all amounts, fees, penalties and expenses incurred by the Corporation and/or required to be paid by the Shareholder pursuant to this Agreement shall be considered additional rent or maintenance pursuant to the Lease.

37. **Security Procedures.** The Shareholder acknowledges that the Shareholder has been advised that no workmen will be permitted in the building without the express, prior authorization of an authorized representative of the Corporation. The Shareholder must provide the superintendent with a list of the workmen expected to be admitted to the building by name and type of work they are to perform. All workmen must have proper identification. It is the Contractor's responsibility to ensure that an English speaking foreman or supervisor is on site at all times. The Shareholder further acknowledges that, prior to entering and exiting the building each day, the Shareholder's workmen will be required to sign in and out of a daily log which shall be the responsibility of the Shareholder or contractor.
38. **Conduct of Workmen.** At no time during the approved construction period will a radio, tape player, compact disc player, television or similar noise-producing device be used in the Apartment or common areas. No workmen may lounge or smoke in the common areas nor on the sidewalks directly adjacent to the building.
39. **No Amendment.** This Agreement may not be changed orally. This Agreement shall be binding on the Corporation and its successors and assigns, and the Shareholder and his, her or its successors, personal representatives and authorized assigns.
40. **Agreement Not Binding.** This Agreement shall have no force or effect until (a) this Agreement has been executed by an officer of the Corporation, duly authorized to do so by the Corporation's board, and (b) the Corporation has received all documents pertaining to the work. The Shareholder acknowledges that the Managing Agent has no authority to execute or approve this Agreement or to waive any provisions thereof. Any deviation from the work approved in this Agreement shall void in its entirety the permission granted hereby.
41. **Notices.** Except as otherwise expressly provided for herein, all notices hereunder shall be in writing and sent by registered or certified mail, return receipt requested, addressed to the Shareholder at the building and addressed to the Corporation at the building with a duplicate notice addressed to the Corporation in care of the Managing Agent. Notices hereunder shall be deemed given on the date when mailed.
42. **Headings.** The captions and titles in this Agreement are for convenience only and shall not be construed as part of this Agreement.
43. **Contractor Licensing.** A law concerning home improvement contracts went into effect in New York State on March 1, 1988. The provisions of this law apply to all home improvement contracts for more than \$500.00 and address the issues of required licensing, contracts and the conduct of the contractor's business operations. The Attorney General is responsible for enforcement of this law and information may be obtained by contacting the Attorney General's Office at: New York Department of Law, Bureau of Consumer Frauds and Protection, 120 Broadway, 3rd Floor, New York, New York 10271, Tel: (212) 341-2000 or (212) 341-2314.
44. **Fireplaces and Terraces.** The Shareholder understands that the Corporation reserves the right to inspect all fireplaces and terraces in the Building. The Shareholder agrees that any work to be performed on the terrace or fireplace in the Apartment, if any, must be subject to special review by the Architect either during the pendency of the work or prior to the Board's approval of the work. Further, the Shareholder agrees to allow the Managing Agent reasonable access to any fireplace and terrace in the Apartment for the purpose of insuring the safe and proper use of the same.

- 45. Completed Alteration.** The Shareholder agrees to take all precautions to prevent any completed apartment alteration from creating a "noisy" or disturbing condition to any other shareholder. The Shareholder further agrees that, if despite preventative measures to avoid "noisy" and disturbing conditions to other shareholders, the Corporation determines in its reasonable discretion, based upon shareholder complaints, that the apartment alteration has created a "noisy" or disturbing condition, the Shareholder shall take all steps, at its sole cost and expense, to repair or remove (if necessary) the alteration to alleviate the disturbing condition.
- 46. No Third-Party Beneficiaries.** No person or entity not a party to this Agreement, including any other shareholder in the Corporation shall be deemed a third party beneficiary hereunder nor, in pursuing any claims against the Shareholder or the Corporation that are parties to this Apartment Alteration Agreement, shall this Agreement form the basis for any claim by any person or entity not a party to this Agreement.

**RIDERS __-__ and Exhibits A - C ARE ATTACHED HERETO AND MADE A PART
HEREOF**

Very truly yours,

Shareholder

Shareholder

PERMISSION GRANTED AND
RECEIPT OF \$_____ ACKNOWLEDGED

870 Fifth Avenue Corporation

By: _____

Name:

Title:

EXHIBIT A
CONTRACTOR INSURANCE ENDORSEMENT
ADDITIONAL INSURED – CONTRACTORS

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

SCHEDULE

Name of Person or Organization:

870 Fifth Avenue Corporation
its directors and officers
Douglas Elliman Property Management
[Name of Shareholder]

WHO IS AN INSURED (Section II) is amended to include as an insured the person or organization shown in the Schedule, but only with respect to liability arising out of "your work" for that insured by or for you.

It is further agreed that such insurance as is afforded by this policy for the benefit of the Additional Insured shown shall be primary insurance, and any other insurance maintained by the Additional Insured shall be excess and non-contributory, but only as respects any claim, loss or liability arising out of the operations of the Named Insured.

Initials

EXHIBIT B

Date: _____]

870 Fifth Avenue Corporation

c/o Douglas Elliman Property Management
909 Third Avenue, 11th Floor
New York, New York 10022

Re: Apartment # _____
870 Fifth Avenue
New York, New York 10065

Dear Sir/Madam:

This letter will confirm that the undersigned has (i) reviewed and fully understood the terms and provisions of an Apartment Alteration Agreement dated _____, __ (the "Agreement") between 870 Fifth Avenue Corporation (the "Corporation") and the Shareholder and (ii) agrees to abide by the terms of the Agreement and the rules and regulations of the Corporation from time to time in effect.

The undersigned further agrees that it will not make any claim against, or seek to recover from (a) the Corporation's its directors, officers or shareholders or (b) the Corporation's or the Corporation's shareholders' servants, agents (including the Managing Agent), directors, officers, partners, guests, licensees, invitees, tenants or employees (each an "Indemnified Party", and collectively, the "Indemnified Parties") for any damage to persons or property by the perils within the scope of the policies described in Agreement unless the loss or damage is due solely to the negligence of that Indemnified Party. The undersigned further agrees to defend, indemnify and hold harmless the Indemnified Parties and all other occupants of the building, against any and all liability, including legal costs and expenses on account of loss of life or injury to any person or damage to property, happening in or arising out of or in any way relating to the performance of the work, unless such injury or loss of life or damage to property is caused solely by the negligence of that Indemnified Party. This agreement to indemnify specifically contemplates full indemnity in the event of liability imposed against the Indemnified Parties, or any of them, without negligence and solely by reason of statute, operation of law or otherwise, and partial indemnity in the event of any actual negligence on the part of an Indemnified Party either causing or contributing to the underlying claim. In that event, indemnification will be limited to any liability imposed over and above that percentage attributable to actual fault, whether by statute, by operation of law or otherwise.

Sincerely,

[Name of Contractor]

By: _____

Name:

Title:

Address:

Telephone Number:

Fax Number:

EXHIBIT C

TO: [Addressed to the shareholders
or residents of the apartments
adjacent to, above and below,
the Shareholder's apartment]

Dear _____:

In accordance with the Alteration Agreement between me and 870 Fifth Avenue Corporation (the "Corporation") covering the alterations to be performed in apartment ____, you are advised as follows:

1. Alterations will be performed in apartment ____ commencing on or about _____. The alteration Agreement with the Corporation permits me an aggregate of ____ days to complete the alterations.

2. I hereby agree to indemnify you for any damage whatsoever to your apartment caused by the alterations performed in my apartment as determined by the Corporation's architect. I agree to pay the reasonable cost of repair of such damage. At your option, such repair may be performed, at my expense, by contractors of your choice or by my contractors.

3. In order to take advantage of the foregoing indemnification, you must permit my designated representatives to inspect your apartment prior to the commencement of my alterations. Please call me at _____ to arrange the inspection. You may have your own architect or other representative present at the inspection to take photographs and record the condition of your apartment. You must also permit my designated representative to inspect any damage you claim my alterations have caused.

Very truly yours,

Shareholder

Apartment No.: _____

Date: _____

RIDER 1

INITIAL SUBMISSIONS

The Shareholder agrees to deliver, with this executed Apartment Alteration Agreement, as many copies of the following as are requested by the Corporation:

- (a) stamped architect's drawing with detailed specifications and a room-by-room list of all work;
- (b) check in the sum of \$750 payable to Douglas Elliman Property Management as a processing fee; and
- (c) check in the sum of \$300 payable to the Corporation, for legal fees in connection with this Apartment Alteration Agreement;
- (d) check in the sum of _____^{***} payable to 870 Fifth Avenue Corporation representing the security deposit payable in accordance with paragraph 28 of this Agreement; and
- (e) copies of policies or certificates evidencing the insurance required in paragraph 1(g) of this Agreement together with proof of payment of the premiums therefor.

^{***} Amount determined by the Board of Directors for security deposit.

RIDER 2

CONDITION OF ADJACENT PREMISES

The Shareholder shall not commence any work until the building superintendent and Shareholder's architect or engineer and, if requested, the representative of the shareholder or resident of the Adjacent Premises, has made an inspection of the Adjacent Premises and has recorded their condition, with photographs or video recording if deemed necessary, and attached a report hereto.

RIDER 3

ASBESTOS

1. The Shareholder hereby agrees to do the following prior to the commencement of the work:

(a) At the Shareholder's expense, retain an asbestos investigator, selected from a list of approved investigators supplied by the Corporation to inspect the areas to be renovated to determine the existence and possible disturbance of any asbestos-containing material ("ACM").

(b) If the results of the investigation reveal the presence of ACM in a friable condition, but said friable ACM is less than ten (10) square feet or twenty-five (25) linear feet, the Shareholder will present the Corporation with proof of the investigator's filing of FORM ACP5 ("Not an Asbestos Project" form). If the results of the review or investigation determine that more than ten (10) square feet or twenty-five (25) linear feet of ACM is in a friable condition, the Shareholder will present the Corporation with proof of the investigator's filing of FORM ACP7 ("Asbestos Inspection Report" form).

(c) If, in the Corporation's sole opinion, based upon the results of the investigation, no abatement work is required, the Shareholder will be entitled to commence the Shareholder's alteration work, subject to the requirements of this Alteration Agreement.

(d) If, in the Corporation's sole opinion, the investigation reveals that abatement work is required, the Shareholder will proceed as follows:

(e) Prior to the performance of any asbestos abatement work, the Shareholder will submit to the Corporation the name(s) and qualifications (including any licenses, liability insurance policies, and resume) of any asbestos consultant(s) and contractor(s) the Shareholder intends to use for asbestos abatement work, along with the name and qualifications (including licenses and insurance policies) of the contractor's hauler(s) and the licenses of all asbestos supervisors and handlers who are to perform the abatement work.

(f) Upon receipt of the Corporation's approval of the consultant(s) and contractor(s), the Shareholder will retain such consultant(s) and contractor(s) to encapsulate, enclose, treat or otherwise abate, as appropriate, all friable ACM. Said abatement, as well as the removal, hauling and disposal of the ACM shall be performed in conformance with all federal, state, and local laws and regulations.

(g) In connection with such abatement work, the Shareholder will furnish the Corporation with copies of all reports and tests that are required by applicable laws and regulations, and with a copy of the final report which is to be provided by the Shareholder's asbestos consultant.

(h) In connection with asbestos removal and disposal, the Shareholder will cause the asbestos hauler to furnish the Corporation with lists of all dump locations to be used, and a certification that the dump sites are EPA approved, and thereafter furnish to the Corporation all dump tickets and disposal manifests.

2. The Shareholder and the consultants(s) and contractor(s) retained by the Shareholder shall comply with all Federal, State and local laws, rules and regulations pertaining to asbestos control, as the same have been or may be promulgated, supplemented or amended from time to time prior to and during the work. In addition, the Shareholder agrees to indemnify the Corporation for any loss, cost, expense (including without limitation attorneys' fees and disbursements), damages, liabilities or fines arising (i) from any failure by the Shareholder or any consultant or contractor retained by the Shareholder to fully conform to all of the foregoing or (ii) in the defense of any suit, action, claim or violation in connection with the abatement work.

3. The Shareholder's contractors shall obtain, in addition the insurance required under Paragraph 1(g) of this Agreement, hazardous material transportation liability insurance with limits not less than \$2,000,000 for bodily injury and property damage. The Shareholder's contractors shall obtain such a policy or arrange for the Corporation and its directors and officers to be named as additional insureds on the policy of the contractors' waste transporter. Such policy shall specifically cover all claims and groups of people who might bring claims relating to asbestos.

RIDER 4

PAINT/DUST AND DEBRIS CONTAINMENT – LEAD BASED PAINT

The Shareholder shall cause the Shareholder's contractors and/or workers to use safe work practices during the work and take precautions to prevent the spread of dust and debris which may contain lead. The Shareholder shall receive assurances acceptable to the Corporation from the Shareholder's contractors and/or workers that they have knowledge of lead-based paint hazards, are trained in lead safe practices and they will perform the work and clean-up the work in a manner which will avoid creating lead-based paint hazards. Such practices shall include (1) limiting access to the work area to only workers, (2) covering the work area with six mil polyethylene plastic or equivalent, (3) protecting the workers, (4) protecting the Shareholder's belongings by covering or removing them from the work area, (5) wetting the painted surfaces before disturbing the paint and (6) wetting the debris before sweeping. The Shareholder shall also cause its contractor and/or workers to comply with the Dust Maintenance Procedure as set forth in Rider 5 (Demolition) of this Apartment Alteration Agreement. The Shareholder shall cause the Shareholder's contractor or workers not to use unsafe paint removal practices, including (1) open flame burning, (2) power sanding or sandblasting (unless a special vacuum attachment is used to contain dust), and (3) dry scraping more than a *de minimis* surface area (*de minimis* means an area of less than one square foot per room). The Shareholder shall cause the Shareholder's contractors and/or workers to perform specialized cleaning of the work area using methods designed to safely remove dust and debris which may contain lead.

Shareholder and its contractor and subcontractor(s) shall comply as applicable with all federal, state and local laws and implementing regulations, regarding lead-based paint hazards, including without limitation, the New York City Childhood Lead Poisoning Prevention Act of 2003, Chapter 11 Title 28 of the Rules of the City of New York (the "HPD Rules"), and United States Department of Housing and Urban Development Regulations, 40 Code of Federal Regulations 745 (collectively, the "Law"). These rules concern precautions in preventing spreading dust and debris, disclosure, work rules, testing, notification to other residents, and retention of records by owner of the Apartment. This Rider is intended to and hereby does allocate complete responsibility for compliance with the HPD Rules and the Law as regards the Apartment to the Shareholder. Upon request, Shareholder or its his or her successor shall provide to the Corporation documentation and evidence of compliance with the HPD Rules. Shareholder hereby releases the Corporation, its directors, officers and the Managing Agent from any compliance responsibility under the Law and agrees to defend, indemnify, and hold harmless the Corporation, its directors, officers and Managing Agent, and all building residents from any claims or costs arising from the violation of the HPD Rules, the Law, and all other applicable rules and laws regarding lead-based paint hazards as regards the Apartment.

Shareholder shall apply for the exemption from presumption of lead based paint, as provided in Sec. 11-08 of the HPD Rules and furnish the Corporation with a copy of Shareholder's application and exemption granted by the City of New York.

No more than sixty (60) days prior to beginning renovation activities in the Apartment, the contractor shall provide the Shareholder with the Environmental Protection Agency (the "EPA") pamphlet entitled, Protecting Your Family from Lead in the Home, (the "Pamphlet"). If

the Apartment is occupied by other than the Shareholder, the contractor shall provide the occupant with the Pamphlet. The contractor shall be responsible for obtaining the Shareholder's or the occupant's written acknowledgment of receipt of the Pamphlet or a certificate of mailing evidencing same. The Shareholder hereby acknowledges that the Corporation has no liability or obligation in connection with this notification requirement of the EPA.

RIDER 5

DEMOLITION

The Shareholder agrees to give the building superintendent, the Managing Agent and the owner of Adjacent Premises telephone notice at least three (3) working days prior to the date any demolition is scheduled to commence. The Shareholder acknowledges that any and all demolition work will be done only between the hours of 9:30 a.m. and 4:00 p.m., Monday through Friday and must be completed within ten (10) consecutive working days from its commencement unless otherwise approved in writing by the Corporation. The Shareholder further agrees to cause its Contractor and/or workers to comply in all respects with the requirements set forth in Rider 4 (Paint/Dust and Debris Containment – Lead Based Paint) including but not limited to Shareholder's obligations to comply with all federal, state and local laws, and implementing regulations, regarding lead-based paint hazards and to indemnify the Corporation for any violations thereof, as set forth in Rider 4. The Shareholder understands that such demolition work or any work may be halted at any time if, in the Corporation's sole discretion, the Corporation shall determine that such work is excessively noisy or creates undue hardship for any other shareholder(s) or occupants; however, the Shareholder may recommence the work if the Shareholder ameliorates such situation.

DEMOLITION WITH CARE (“DWC”)/MAJOR RENOVATIONS (ALL ENGINEER/ARCHITECT COSTS below to be paid for by apartment owner)

- A Structural Engineer and/or Architect of the Board's choosing (**“870's Professional”**) shall be present at all times to oversee the entire demolition; and thereafter at least 1 hour per day during a major renovation
- Nick Mirzo stops in/inspects every day, and assists 870's Professional as needed. Mooney Berisha to do the same when NM is on vacation
- The apartment owner shall present a timeline of their proposed demolition to the Construction Committee of the Board, for review by it and 870's Professional, and a “vetting” of the demolition crew prior to demolition
- NO USE OF JACKHAMMERS or Mechanized Hammers. Only smaller hand-tools for demo (such as small hammers, not to exceed 2 pounds, eg. lump hammer), all as approved by 870's Professional who is supervising, to ensure DWC
- Full indemnification to all neighboring residents for any damages

(ALL ENGINEER/ARCHITECT COSTS below to be paid for by apartment owner)

- During construction, inspection by 870's Professional at least 1 hour per day (or more as required), with periodic site visits by resident manager
- If Partitions (interior existing walls) are removed, standard metal framing and sheetrock should be acceptable as replacement walls if:
 - 870's Professional to inspect, supervise and approve

- All demolition to be carefully supervised as set forth above under “DWC/Major Renovations”
 - 870’s Professional to “vet” demolition team prior to demo
 - Any walls to be removed will be temporarily shored up sturdily per 870’s Professional’s supervision during demo and until any new replacement wall is added
 - Kitchen wall replacement---All required fire and water-proofing must be in place
- Relocation of electrical wiring and gas branch piping to be completed by licensed contractors
 - Gas test afterwards by licensed INDEPENDENT contractor
 - Pre- and post-approvals required by Lakhani & Jordan (MEP Engineers, on behalf of the corporation), or in the future, any MEP Engineer of the Board’s choosing
 - Refrigerator ice cube water line to have all required wet over wet (and/or wet over dry) protections as per 870’s Professional
- If any pipes wrapped with asbestos---all appropriate licensed asbestos removal required, with independent post-testing required. Pre, during, and post-supervision required by 870’s Professional, with periodic site visits by the resident manager

DUST MAINTENANCE PROCEDURE

In connection with any demolition, the Shareholder shall comply, and cause its contractors/workers to comply, with the following procedure:

I. Equipment

A. Polyethylene sheeting: Provide 6.0 mils thick minimum flame-resistant polyethylene sheeting that conforms to requirements set by the National Fire Protection Association Standard 701, Small Scale Fire Test for Flame-Resistant Textiles and Films. Provide largest size possible to minimize seams.

B. Reinforced Polyethylene Sheeting: Provide 10 mils thick minimum translucent, nylon reinforced or woven polyethylene, laminated flame resistant, polyethylene film that conforms to requirements set forth by the National Fire Protection Association Standard 701, Small Scale Fire Test for Flame-Resistant Textiles and Films. Provide largest size possible to minimize seams.

C. Duct Tape: Provide duct tape in 2" of 3" width as indicated, with an adhesion which is formulated to stick aggressively to sheet polyethylene.

II. Construction of Dust Control Work Areas

A. Completely isolate work areas from other parts of the building so as to prevent dust or debris from passing beyond the isolated area.

B. Individually seal all ventilation openings (supply and exhaust), doorways, windows, convectors, door grills, and other openings inside the work area with duct tape alone or with polyethylene sheeting at least 6 mil in thickness, taped securely in place with duct tape. Maintain seal until all work is completed. Take care in sealing of convector to avoid melting or burning of sheeting.

C. Cover carpeting in public hall with one (1) layer of reinforced polyethylene sheeting at least 10 mils in thickness. Place corrugated cardboard or "masonite" sheets on top of the polyethylene sheeting.

D. Install an exhaust fan, which must develop not less than 0.125% static pressure which shall be operated until midnight during the drying of highly volatile paint or staining procedures.

E. Sheet Plastic: Protect surfaces on the work area with one (1) layer of plastic sheeting on floor and walls.

F. Cover floor of the work area with one (1) layer of polyethylene sheeting, each at least 6 mils in thickness, turned up walls at least 12 inches. Form a sharp right angle bend at junction of floor and wall so that there is no radius which could be stepped on causing the wall attachment to be pulled loose. Duct tape all seams in floor covering. Locate seam in top layer six feet from, or a right angles to, seam in bottom layer. Install sheeting so that top layer can be removed independently of bottom layer.

G. Cover all perimeter walls in work area with one layer of polyethylene sheeting, at least 6 mil in thickness, mechanically supported and sealed with duct tape (overlap sheets 4" - 6") in the same manner. Tape all joints including the joining with the floor covering with duct tape.

H. In extreme dust situations, at the discretion of the managing agent or superintendent, a dust control enclosure shall be constructed at the entrance to the work area. The dust control enclosure shall have a flap opening (of at least 5' high x 3' wide) in one vertical side of the enclosure by sealing an extra layer of polyethylene sheeting with duct tape to the top side of the enclosure.

I. At the discretion of Management or Superintendent, foam sealant or similar product may be used in pipe chases or other slab penetrations so as to minimize traveling dust or debris.

RIDER 6

LOCATION OF ROOMS/INTERIOR WALLS

1. The Shareholder agrees that no granite, ceramic tile, marble or other hard-surfaced flooring will be installed except within the original demising walls of the entry foyer, kitchen, bathrooms, pantry and laundry room and that no removals of floor slab materials will take place in those locations. Locations where there is no topping slab or finish floor system may not be disturbed for the purpose of depressing the level of the slab to accommodate new finish floors. In all cases, the Corporation will require installation of a sound retardant underlayment beneath such flooring, such underlayment to be approved by the Corporation. Additionally, all other flooring that will not be carpeted must be installed with proper sound proofing.

2. When ceilings or floors are demolished, a licensed professional Architect or Engineer retained by the Shareholder shall inspect all exposed ceiling and floor slabs, structural steel beams and columns, and fire-rated partitions for holes, penetrations, voids or cracks. Any such conditions found shall be corrected and patched in a fire-safe, smoke-safe and insect/rodent-proof method using NYC approved fire-resistant materials and certified by the licensed professional as completed in compliance with NYC code.

3. All new interior partitions shall be constructed of block and plaster, metal studs, metal or gypsum lath and plaster, or metal studs with a double layer of gypsum board or other base material specifically designed for a skim-coated plaster finish.

4. All new ceilings and audio speakers shall have adequate soundproofing, to be approved by the Corporation.

5. The Shareholder agrees that no work shall be done that will change the "footprint" (i.e., layout) of the Apartment, except in the area of original maid's quarters. In no event may any "wet" use such as a bathroom, kitchen or laundry room be relocated or expanded over a "dry" or "quiet" use of the floor below or extended beyond the original demising walls.

6. The Shareholder agrees to take all precautions to prevent any completed alteration from creating a "noisy" or disturbing condition to any other shareholder. The Shareholder further agrees that, if despite preventative measures to avoid "noisy" and disturbing conditions to other shareholders, the Corporation determines in its reasonable discretion, based upon shareholder complaints, that the alteration has created a "noisy" or disturbing condition, the Shareholder shall take all steps, at its sole cost and expense, to repair or remove (if necessary) the alteration to alleviate the disturbing condition.

7. Procedures for Installation of Hard Floor Surfaces:

(A) New Finished Wood Flooring

(a) Existing finished flooring and sub flooring shall be removed to the slab level.

(b) A resilient underlayment shall be placed on the base building concrete slab (leveled if required). Acceptable underlayments are "Kinetics SR Floorboard" or "Akzo Enkasonic Mat". Manufacturer's installation instructions to be adhered to.

(c) Two layers of $\frac{3}{4}$ " plywood with staggered joints to be laid over the underlayment.

(d) Tape or tack-glue perimeter isolation of $\frac{3}{8}$ " thick fiberglass board to isolate the floor and break the sound transmission path between floor and walls. Perimeter isolation to be full height of underlayment and plywood layers.

(e) The finished wood floor, can be nailed or screwed to the plywood. However, the nails or screws must not penetrate the resilient underlayment.

(B) Stone or Tile Flooring

(a) Acoustical underlayment such as "Kinetics SR Floorboard" or "Akzo Enkasonic Mat" shall be placed on top of the base concrete slab. Manufacturer's installation instructions to be adhered to.

(b) Perimeter isolation of $\frac{3}{8}$ " thick fiberglass board (full height of underlayment and mortar setting bed).

(c) A mortar setting bed of at least 1- $\frac{1}{4}$ " to be installed over the underlayment material with 2"x2" x 16/16 gauge welded wire mesh.

RIDER 7

AMENDED CERTIFICATE OF OCCUPANCY

If the work requires an amended Certificate of Occupancy for the building,

(a) The Shareholder shall have, at the Shareholder's expense, an application in the form of an "Alteration" describing the proposed work on file with the New York City Buildings Department within thirty (30) days after the Corporation's written approval of the Shareholder's alteration request. This "Alteration Type I" application, if required, shall note that an amended Certificate of Occupancy will be sought. A copy of any such application shall be simultaneously submitted to the Corporation. The Shareholder will file, at the Shareholder's expense, an application for an amended Certificate of Occupancy with thirty (30) days after completion of the work. The Shareholder shall diligently pursue obtaining an amended Certificate of Occupancy and shall keep the Corporation informed of the status of this process on a regular basis. No appointments for final Building Department inspection to "sign-off" on the work shall be made prior to the Corporation or the Corporation's representatives conducting an inspection to confirm compliance with the approved plans and specifications, and the Corporation will have reasonable time to make such inspection.

(b) Prior to the commencement of any work requiring an amended Certificate of Occupancy for the building, the Shareholder shall deliver to the Corporation an additional security deposit in the amount of \$5,000 as provided in paragraph 28 of this Alteration Agreement to secure the Shareholder's obligations regarding obtaining such amended Certificate of Occupancy, and the Shareholder agrees that the Corporation may use such funds to obtain an amended Certificate of Occupancy if Shareholder fails to perform said obligations in a timely manner. This security shall be in addition to any other security the Shareholder may be required to deliver in connection with the work. The Shareholder shall be entitled to receive a refund of such security, or any balance thereof, upon receipt of an amended Certificate of Occupancy.

RIDER 8

ALTERATIONS VISIBLE FROM EXTERIOR/REPLACEMENT OF WINDOWS/AIR CONDITIONING – THROUGH THE WINDOW, WALL AND CENTRAL UNITS

1. Any installation of replacement windows shall be subject to the prior approval of Corporation. Prior to the installation of replacement windows, the Shareholder shall cause the Shareholder's contractor to provide a sample of the proposed replacement windows to the Corporation for the Corporation's review and approval to assure that such replacement windows are they type of windows approved by the Corporation and otherwise conform in color, style and dimensions to existing windows in the building and that such windows meet the requirements of any federal, state, or city department or agency having jurisdiction over the replacement of windows in the building, including, without limitation, the New York City Landmarks Preservation Commission.

2. It is understood that the windows Shareholder installs will become the responsibility of the Shareholder, and thereafter any defects or malfunctioning of these windows will be repaired at the expense of the Shareholder. Any exterior leaks resulting from this installation will also become the responsibility of the Shareholder. The Shareholder and the Shareholder's heirs, assigns and successors-in-interest shall be responsible for any and all damage caused by the replacement of any window in the building made by the Shareholder.

3. If a consent, permit or approval is required from any federal, state, or city department or agency to lawfully perform such window installation, the Shareholder shall first obtain such consent, permit or approval and provide a copy of such consent to the Managing Agent before proceeding with such installation.

4. Exterior brick walls shall not be penetrated for any purpose other than installation of through-the-wall air conditioning units, which shall only be permitted upon the Corporation's approval, at its sole discretion, of plans and specifications for same.

5. Exterior limestone or brick walls shall not be penetrated for any purpose whatsoever.

6. No enlargement of any opening in any of the building's walls shall be permitted. Neither shall any increase in size of windows or doors leading to terraces be permitted. In the event any such enlargement is nonetheless permitted, the Shareholder accepts sole responsibility for the work and costs in connection with the maintenance, repair, restoration or replacement of any portions of the Apartment and building façade affected by such work, and acknowledges that such responsibility shall pass to the Shareholder's successor-in-interest in the Apartment.

7. The installation of any air-conditioning unit shall be subject to the prior approval of the Corporation. The installation of any air-conditioning unit will be made secure, weather tight and water tight and in such manner as to create no disturbance, nuisance or damage due to noise, vibration, air or water leakage or other cause and shall be insulated on the exterior and interior of the building. The exterior grilles must be centered (whenever possible) beneath a window and mounted flush with the building's facade. All grilles, bolts and screws shall be of

non-corrosive material, so as to prevent staining of the building façade from corrosion. The exterior grilles must be painted to match the surrounding masonry and maintained by the Shareholder and shall be replaced when they deteriorate. The installation of any air-conditioning unit shall include a waterproofing membrane at floor level for each existing or new air-conditioning unit, constructed as per building standard detail. Such required waterproofing detail shall be set forth in the scope of work and shown on the relevant alteration documents. The waterproofing membrane must be tested and shown to be effective prior to final approval.

8. Any installation of central air conditioning shall be accompanied by a report from an acoustical engineer acceptable to the Corporation demonstrating that no excessive noise will be made by such equipment. The Shareholder agrees to take all precautions to prevent any "noisy" or disturbing condition to other Shareholders. The Shareholder further agrees that if the Corporation determines in its reasonable discretion, based upon shareholder complaints, that the equipment has created a "noisy" or disturbing condition, the Shareholder shall take all steps, at its sole cost and expense, to repair or remove (if necessary) the equipment to alleviate the disturbing condition. No part of any central air conditioning unit may be mounted on the exterior of building walls or terraces.

The installation of any through-the-wall air-conditioning unit shall include a waterproofing membrane at floor level for each existing or new air-conditioning unit, constructed as per building standard detail. Such required waterproofing detail shall be set forth in the scope of renovation work and shown on the relevant alteration documents. The waterproofing membrane must be tested and shown to be effective prior to final approval. The installation of any air-handling, air conditioning or condensing unit shall, in addition to the foregoing, include a waterproofing pan with an electrical sensor that will automatically shut off such unit if the unit is leaking and the drain is not working.

9. All through-the-wall air conditioning units must have back up electric heat to accommodate the shut off of the boiler. In the event the installation of any through-the-wall air conditioning units requires the removal of the radiator, the branch steam piping must be removed and capped at the riser.

10. Any permission granted to install an air-conditioning unit shall not to be deemed a license or easement and is revocable by the Corporation at any time on written notice in the event of a violation by the Shareholder of any of the provisions of this Alteration Agreement or if required by any State, Federal, City department or agency having jurisdiction thereof.

11. The Shareholder recognizes that there will be no change in the operation of the building's heating system or air conditioning system to facilitate the functioning of any heating or air conditioning units the Shareholder may install.

12. All required consents, approvals and permits from all federal, state and local agencies having jurisdiction, including the New York City Landmarks Commission, shall be obtained and provided to the Managing Agent before any through-the-wall air conditioning unit is installed.

13. Where repairs or alterations are being made which affect the exterior of the building, the sidewalk below shall be protected at all times.

RIDER 9

PLUMBING, HEATING & GAS

1. All new copper piping shall be properly separated from piping of dissimilar material to prevent galvanic corrosion.
2. Where new plumbing fixtures or gas pipe systems are installed and where any part of any existing plumbing fixture or gas pipe system is altered, all new roughing and conveniently located shut-off valves will be easily accessible, the Shareholder shall be responsible for locating and testing all plumbing shut-off valves, and all branch plumbing from the riser to the new fixtures, including hot and cold shut-off valves must be replaced by the Shareholder. All steam traps must be replaced by the Shareholder. The Shareholder will not, without the Corporation's prior approval, enclose or obstruct access to the existing heat or water pipes, valves or other equipment not presently enclosed. No plumbing or heating risers may be relocated without the Corporation's specific written consent. In any event, whether or not approval is granted, the Corporation shall have the right to remove any impediments to access to such heat or water pipes, valves and equipment for the purpose of repair or any other purpose, and the Shareholder shall pay any expenses the Corporation may incur in removing these impediments and shall assume all costs of restoring the same. However, if the Corporation has undertaken the repair or replacement of any plumbing installation including but not limited to water pipes, valves and related equipment, the Corporation will be responsible for the costs incurred. All new plumbing installations shall be inspected by the NYC Department of Buildings. In the case that the inspection has been self-certified, the Corporation shall have the right, at the Shareholder's expense, to retain a licensed Plumber, other than the plumber doing the work, to conduct an inspection of the work including both roughing and final installation, to ensure compliance with the NYC Plumbing Code.
3. The Shareholder agrees that the Shareholder and the Shareholder's successor-in-interest shall assume full responsibility for the future repair and maintenance of the plumbing lines located in the Apartment and any equipment installed as part of the work. The Shareholder further agrees that the Shareholder and the Shareholder's successor-in-interest shall bear any and all costs for any plumbing leaks or other conditions which cause damage to the Adjacent Premises or other apartments in the building, if such leakage or damage results from the work or the equipment installed as part of the work.
4. The details of all plumbing installations, including the locations of affected building risers and stacks, schematic plans of plumbing offsets and materials and methods of installation, shall be noted on the plans and specifications for the work and subject to the Corporation's approval.
5. All work involving the replacement of plumbing fixtures will require a water line shutdown for the replacement of shut-off valves for sinks and showers. In no event shall any Shareholder attempt to shut off any "key-type" shut-off valves under sinks prior to the line being drained and new valves installed.

6. The details of all radiator enclosures and method of installation shall be set forth on the plans and specifications and shall be designed to allow access to radiators and valves. Any such radiator enclosure must be easily removed.

7. All water supply lines will be fed through walls and not floors.

8. Only legal gravity fed toilets shall be permitted to be installed in the Building.

9. In the event the work involves exposing and/or moving plumbing pipes, the Corporation shall have the right to install new risers and branch lines, at the Corporation's expense, where plumbing is in the original configuration.

10. All new bathrooms must comply with Local Law 86 of 1996 with respect to the installation of Anti-Scald Valves on all tubs and showers.

11. If any alteration to the heating system fails to supply adequate heat, the Shareholder will be responsible for supplemental heating.

12. No penetration will be made through existing shafts for the installation of pipes, conduits or other utilities.

13. All tubing to refrigerator for ice maker or cold-water service shall be configured in a loop back to a valve and then drain so that this low volume feed may be flushed out from time to time as necessary.

RIDER 10

INSTALLATION OF APPLIANCES

1. The Shareholder agrees not to cause or permit the installation of a jacuzzi/whirlpool tub, sauna, steamroom, steam showers (collectively, "Whirlpool") or, without the Corporation's specific written approval, (a) the installation of any garbage disposal unit, or (b) the enlargement of existing bathrooms or the installation of additional bathing facilities. In no event shall the Shareholder install a kiln or similar oven not for cooking purposes or perform any alterations which would entail cutting into the floor or ceiling slab of the Apartment for electrical or plumbing work or for any other purpose. The Shareholder understands and acknowledges that any approval of the Shareholder's installation and operation of a Whirlpool is a conditional approval. The Shareholder agrees that if, at any time, any shareholder of any apartment in the building is determined by the Corporation, in the Corporation's reasonable judgment, to have suffered any damage, disturbance or inconvenience caused by the Whirlpool, including without limitation, the effects of noise or seepage from the installation or operation of the Whirlpool, the Corporation may, in the Corporation's sole discretion, require the Shareholder (i) to immediately cease the operation and use of the Whirlpool and/or (ii) to disconnect the Whirlpool mechanism within thirty (30) days. If the Shareholder fails to cease the operation or fail to disconnect the Whirlpool mechanism as set forth in the immediately preceding sentence, the Corporation may enter the Apartment (upon telephone notice) and cause such cessation and/or disconnect of the Whirlpool mechanism at the Shareholder's cost and expense.

In no event shall an existing bathroom be enlarged or reconfigured or any additional bathing facilities be installed which would cause a "wet" area to be located over a "dry" area in the apartment below.

2. The Shareholder further expressly agrees not to cause or permit the installation of any other appliance or fixture whatsoever unless the same shall have been labeled on the plans and specifications submitted to the Corporation herewith and approved by the Corporation in writing, provided, however, that appliances and fixtures may be installed in the place of appliances and fixtures set forth in the plans and specifications approved by the Corporation if such substitute appliances and fixtures are of like kind, function and basic specifications as the appliances and fixtures set forth in the plans and specifications approved by the Corporation.

3. The shareholders agree that no washing machine or dryer is permitted in the Apartment. No existing washing machine or dryer may be replaced. **(Amended on 12.12.2016. Amendment attached.)**

4. The installation of electric stoves and ovens are discouraged as tending to use high amperage.

5. No portable dishwasher or clothes washer shall be installed in the Building. All appliances must be installed directly into the Building's plumbing systems and installation must be approved by the Corporation's consulting architect.

6. All appliances shall be properly vented. Venting details shall appear on the plans.

Should new or additional vents be required, such vents must be located in the non-street facades

of the building and must correspond exactly to the location of existing vents in that line. All vents must be keyed into the brick work, properly waterproofed and wooded to prevent water infiltration and masonry deterioration. Kitchen exhaust fans may not be connected to existing kitchen exhaust shafts.

7. In the event that there is a complaint concerning noise, vibration or exhaust heat from any appliance or other equipment installed, the Shareholder agrees to take immediate steps to eliminate the cause for the complaint and, in the event the situation is not resolved to the satisfaction of the Board of Directors in its sole and absolute discretion, to remove such appliance or equipment.

870 Fifth Avenue Corporation
870 Fifth Avenue, Manhattan

updated 12.12.16

Proposed **Amendment** to
BUILDING ALTERATION RULES

RIDER 10: REPLACEMENT OF WASHERS/DRYERS

Paragraph 3, as currently written:

The shareholder agrees that no washing machine or dryer is permitted in the Apartment.

Proposed amended paragraph to include:

1. Existing washing machine may be replaced in compliance with the following:
 - a. The washing machine shall be 'energy star' rated, low-water capacity type and only low suds detergent may be used.
 - b. The washing machine shall be set in a water tight and waterproof drip pan encompassing the washing machine. The water tight and waterproof drip pan shall be equipped with leak detection connected to automatic shut-off valves.
 - c. No portable washing machines and/or dryers are allowed.
 - d. The washer shall have a pressure type water hammer arrestor and a check valve for both hot and cold water supply readily accessible to the building's staff, for ease of turn-off in case of inspection, preventive maintenance or emergency.
 - e. The washer shall be installed directly into the Building's plumbing system by a New York City licensed plumber and have at least a 2" vented standing waste line and branch line to the riser. Installations shall be done in accordance with Rider 9 of the Building Alteration Rules.
 - e. If it is determined by the Building Engineer and/or Building Architect that the discharge of water from the washing machine may backup into any neighboring apartments, the waste and vent pipes must be changed to test if proper water flow can be accommodated without such backup. All costs associated with this work shall be paid for by the shareholder requesting the installation.
 - f. Installation shall be reviewed and approved by the Resident Manager and a Plumber of the Building and a Building Engineer and/or Building Architect to confirm compliance with the Building Alteration rules and NYC Plumbing Code.
2. Dryers may only be the 'ventless' type and run on electricity. No new gas dryers

will be allowed to be installed in residential apartments nor will any new venting be allowed to the building exterior or vent shafts.

3. The Shareholder agrees that approval to install a washer and dryer is contingent upon the acknowledgment that should there be complaints about noise, vibrations, leaks, backing-up of suds into other apartments, or other adverse conditions to the building or its residents, the building retains the right to require the washer and/or dryer to be removed at the Shareholders' expense. Furthermore all standards set forth in this Rider shall be subject to the Building's right to stipulate new installation and/or washer and dryer requirements as a result of future technological changes or advances, or as a result of potential adverse building conditions, all of which changes shall be paid for at the Shareholders' expense.

4. Any washers and/or dryers shall only be operated between the hours of 8 AM and 10 PM.

5. Shareholders shall be deemed to agree to indemnify the Cooperative, its Directors, Officers and Managing Agent, and all other shareholders, and be responsible for any damages associated with any such installation. As a condition to approval of the laundry equipment, shareholders with the laundry equipment shall be required to obtain and maintain homeowner's liability insurance in an amount of at least \$1,000,000.

RIDER 11

CHANGES IN ELECTRIC SERVICE

1. No alteration work which will affect the electric service or relocation of any electric riser to any apartment shall be permitted unless and until a proposed electrical plan is submitted to and approved by the Corporation's architect and/or a consulting engineer of the architect's choice. The Shareholder shall also furnish a letter from a licensed electrician, engineer or architect who shall certify that the electrical loads required as a result of the work will not be in excess of the present electrical capacity of the Apartment and will not adversely affect the building's electric service.

2. No additional electric service will be brought in without the Corporation's approval. If such approval is granted, the Shareholder agrees to pay to the Corporation a one-time fee of \$200 per single phase amp for such additional electric service.

3. Any major electrical modifications or rewiring must be accompanied by a separate electrical riser and separate metering approved by the Corporation. If a new riser is installed, all existing replaced by such riser must be removed from the basement level to the Apartment, and the Shareholder must repair all damage caused by such removal, including but not limited to, all plastering and painting. In the event any electrical upgrading requires replacement of wiring that feeds into other apartments, such work shall be done at the expense of the Shareholder.

4. Actual hookup of any electric service to the building's main service must be handled by the building's electrician at the Shareholder's expense.

5. Upgrading of the electrical systems within the Apartment must be limited to a maximum load of 100A (amperes), 208V (volts), 1ph (single phase). Existing riser conduits shall be re-used.

6. The Shareholder agrees to bear all professional fees associated with any review, correction or amendment to the proposed electrical plan done by the Corporation's architect and/or a consulting engineer of the architect's choice.

7. For all new apartment purchases the incoming shareholder shall be required to complete an upgrade of the electrical system throughout the apartment within one (1) calendar year from the date of closing. The electrical system and devices shall meet or exceed NYC Electrical Code and NYC Building Code requirements, current version. Installation shall be completed by a licensed, insured electrical contractor, as specifically pre-approved by the Board. The electrical system will be reviewed and confirmed in compliance by either a licensed professional engineer or an official electrical inspector from the NYC Dept. of Buildings.

RIDER 12

LANDSCAPING OF TERRACES, ROOFS OR BALCONIES/FURNITURE AND OTHER INSTALLATIONS

The following regulations and guidelines shall be adhered to by all occupants of apartments with adjoining terrace areas, roofs or balconies.

1. No surfaces of the floor, walls, railings, or doors may be painted, coated and/or decorated in any fashion, unless approval has been requested in writing, and granted, in writing, by the Board of Directors.

2. All planters placed onto the terrace decks, shall conform with all the requirements as set forth by the New York City Department of Buildings, and the New York City Building Code, as well as all Memorandums issued by the Housing Preservation and Development Agency, Department of Code Enforcement.

a. Loads imposed by planters or furniture on terraces and concrete decks, shall not exceed 40 pounds per square foot, when the soil within the planter is saturated with water.

b. Any planter or furniture erected as a permanent fixture to the deck, shall have plans submitted to, and approved, by the New York City Department of Buildings, and the Board of Directors.

c. Placement of planters and furniture must not block the legal means of egress.

d. "Dunnage" or "sleepers", shall be placed under all planters, to prevent plant roots from growing from the planters down into the deck, and penetrating the waterproofing membranes, and/or roof deck finishes. "Dunnage" or "sleepers" shall be approximately 2" thick and made of pressure treated sections of wood, or masonry units such as hard burned brick or quarry tile.

e. Dunnage should be arranged in a manner, to allow free flow of surface runoff water draining from all areas of the deck, to the deck drain.

f. Planters shall be constructed with weep holes at the bottom, to allow for drainage, and to prevent heaving saturated soil conditions from developing.

g. No tree, plant or shrub shall be placed on the deck, or be allowed to grow past the maximum allowable size as set forth by the Board of Directors. All trees, plants and shrubs must be pruned as often as necessary to stay within the maximum allowable size.

h. The planters shall not cover more than 10% of the deck surface area.

- i. All planters shall be constructed and maintained so as to be moveable by no more than two people.
 - j. All planters shall be movable to accommodate maintenance of the deck surface, as well as the perimeter walls and/or railings.
 - k. All planters shall be placed no closer than 4"-6" from perimeter walls in order to facilitate cleaning and maintenance of the deck area.
- 3. Occupants of apartments with direct access to terraces are responsible for the maintenance of the deck surface and drains. All drain covers and deck surfaces must be kept free of leaves, plan debris and all other debris which may clog the drain covers or drain lines.
 - 4. Wind driven soil and/or debris shall not be allowed to accumulate on the deck surface and act as a medium for the germination of the wind driven seeds.
 - 5. No objects, planters or otherwise, may rest on top of terrace parapet wall and/or be supported from railings or soffited areas.
 - 6. Terrace areas are not to be used for storage of bicycles, carts, snow tires, furniture, etc.
 - 7. All planters and furniture placed on the deck surface shall be rust free to prevent staining of the exterior envelope of the building.
 - 8. All furniture and planters shall be of sufficient weight, or secured to the terrace, to prevent them from being blown over the surface, and possibly over the side of the terrace.
 - 9. Sun umbrellas shall not be placed onto the terraces.
 - 10. The terrace areas shall not be erected on terraces.
 - 11. Wood fencing and sheds shall not be erected on terraces.
 - 12. In order to comply with Local Fire Codes and prevent fires: Neither gas grills or charcoal grills are permitted on the terraces.
 - 13. All electrical fixtures and wiring on the terraces must conform with the Local Building Codes and must be approved for outdoor use. All electrical installations must be performed by a licensed electrical and approved by the Board of Directors.
 - 14. It is the responsibility of the occupant to move all planters as necessary for building maintenance needs.
 - 15. Occupants will be held responsible for the cost of repairs resulting from damage caused by their actions, and/or their failure to properly maintain their terrace areas.

16. The application of any deck covering (i.e. outdoor carpeting, wood decking, bituminous surfacing, paint, cementitious materials, etc) shall not be permitted without the express written approval of the Board of Directors. Wood decking cannot be placed on the terraces unless it meets N.Y.C.F.D. & B.D. code criteria. The decking terraces shall not impede water drainage, and/or cause the railing and/or parapet heights to be less than 3'-6" above finished deck surface.

17. Planters must be self contained unites constructed of non-flammable light weight materials. Fireproofed redwood, cedar or pine, lined with copper, lead or Fiberglass reinforced plastic is preferable.

18. Planting medium shall consist of "light weight soil":

1/3 Top Soil
1/3 Peat moss
1/2 Perlite or Vermiculite

19. If it becomes necessary for the Corporation to gain access to any part of the terrace deck that is blocked by a plant container, the Corporation retains its right to move or relocate any such planter, and such work will be performed at the sole expense of the Tenant-Shareholder(s). It shall be the responsibility of the respective Tenant-Shareholder(s) to assume the full cost of the repair of any water penetration damage which may have been caused directly, or indirectly by the presence of such plant containers.

20. The Corporation reserves the right to withdraw permission to have any planters on the terraces and roof areas by written notice to the respective Tenant-Shareholder(s). It shall be the responsibility o the Tenant-Shareholder(s) to remove any such planters at their own expense.

21. The superintendent and/or the managing agent are required to regularly monitor all such plantings for their compliance to these guidelines. The Corporation may also enlist the services of a professional engineer to determine the appropriateness of any particular planting and their determination will be final. Any costs related to such an evaluation shall be the responsibility of the respective Tenant-Shareholder(s).

22. The Corporation retains its right to modify these guidelines as circumstances warrant.

RIDER 13

WINDOW REPLACEMENT

For all new apartment purchases the incoming shareholder shall be required to complete the replacement of all existing windows throughout the apartment within one (1) calendar year from the date of closing. All new windows shall meet or exceed NYC energy code requirements, NYC Building Code requirements and NYC Landmarks requirements as per the approved 870 Master Plan. All new windows shall be installed into existing masonry openings, with complete flashing and sealant installed at the entire perimeter as required for a weathertight installation. Installation shall be completed by a licensed, insured contractor experienced in window installation, as specifically pre-approved by the Board. Window specification shall be as per NYC Landmarks requirements: Design line 90 aluminum windows rated AAMA C-AW-60 with thermally broken sash and frame, fitted with 1" double-pane insulating Low-E annealed glass, single point locking handle, and baked-on acrylic paint finish. Window exterior to be 'Navajo Beige' as per the NYC Landmarks Master Plan.

Windows shall be manufactured and installed by Skyline Windows, LLC or similar experienced company as approved by the Board.

Windows shall be installed brick-to-brick with full exterior caulking for watertight seal, removal of existing frame to masonry, bituthene waterproofing layer with aluminum sill pan.

RIDER 14

AIR CONDITIONER REPLACEMENT

For all new apartment purchases the incoming shareholder shall be required to complete the replacement of all existing thru-wall PTAC units throughout the apartment within one (1) calendar year from the date of closing. All new PTAC units shall meet or exceed NYC energy code requirements, NYC Building Code requirements and NYC Landmarks requirements. All new AC units shall be installed into masonry openings, with pan and complete flashing and sealant installed at the entire perimeter as required for a weathertight installation. Installation shall be completed by a licensed, insured contractor experienced in window installation, as specifically pre-approved by the Board.

No window AC units shall be permitted in the building.